

Apple Inc.
AAPL NASDAQ

Hold \$320.84 ▼ 2.25% 12M Price Target \$340.00 52-Week Range \$225.95 – \$344.57 Market Cap \$4.68T

AAPL: Folding iPhone Hype Meets Memory Cost Reality

WHAT HAPPENED

- AAPL dropped 2.25% on light volume (only 19M shares vs 40M+ typical) after a 4-day run to \$328. This looks like profit-taking, not panic — when volume is thin on a down day, it usually means sellers are trickling out, not stampeding.
- The GuruFocus piece on memory costs quadrupling is the real story — Apple's hardware VP Ternus basically telegraphed that iPhone pricing is going up. That's a margin defense move, but it risks demand elasticity in a shaky consumer environment.

WHY IT MATTERS

Here's what I'm seeing: the folding iPhone leak + memory cost jump = Apple is trying to reset the price ceiling on iPhones just as they launch a premium new form factor. That's smart timing — you bury the price hike inside a shiny new product. If it works, ASPs (average selling prices — basically what each phone sells for) go up meaningfully in FY27. But the options flow is telling — huge unusual call AND put activity at the \$320-325 strikes tells me institutions are hedged for a binary reaction to the September iPhone event. Also worth flagging: the General Counsel has sold stock four weeks in a row on a rigid schedule — that's a 10b5-1 plan, not a red flag, but it's not a vote of confidence either.

POLICY & POLITICAL WATCH

The biggest overhang is the ongoing China tariff situation — Apple still assembles the majority of iPhones in China, and any escalation directly compresses margins right when memory costs are already quadrupling. Also watch the DOJ antitrust case on the App Store and the EU Digital Markets Act enforcement — both are chipping away at Apple's ~30% services take rate, which is the highest-margin part of the business. On the positive side, if the administration cuts a trade framework with India (where Apple is aggressively shifting production), that's a genuine tailwind that de-risks the supply chain narrative.

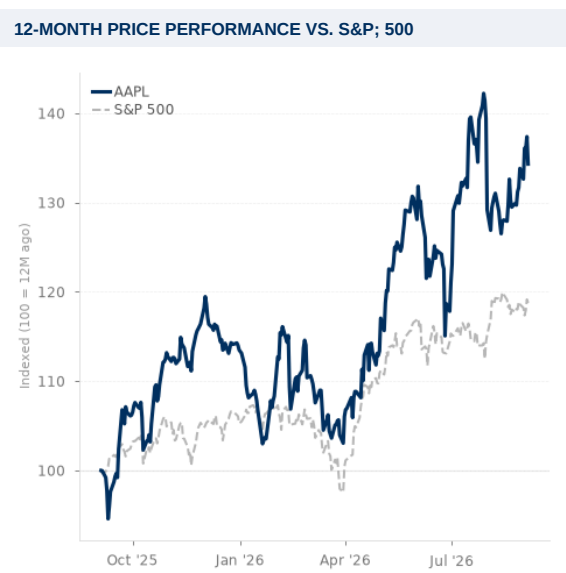
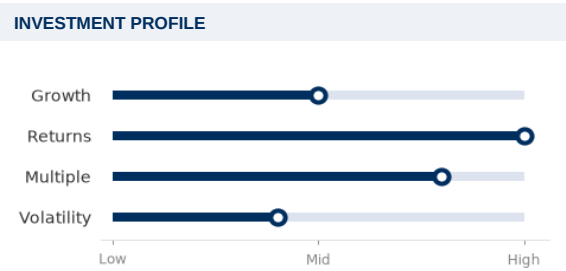
IS IT EXPENSIVE?

At \$320, you're paying roughly 41x forward earnings — meaning \$41 for every \$1 of profit Apple makes next year. That's rich for a company growing revenue in the mid-single digits; historically Apple traded at 25-30x. The premium is being paid for the AI narrative and folding iPhone optionality, but at 80% of the 52-week range, a lot of good news is already in the price.

WHAT COULD GO WRONG

- Memory cost inflation eats into gross margins before Apple can pass it through — that's a 2-3 quarter earnings drag even in the bull case.

Key Data	
Price (USD)	\$320.84
12M Price Target	\$340.00
Upside / (Downside)	+6.0%
Market Cap	\$4.68T
FY2026E Revenue	\$445M
FY2027E Revenue	\$478M
FY2026E EPS	\$7.85
FY2027E EPS	\$8.60
Fwd P/E	40.9x



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$340.00	\$325.00	\$305.00
6 Months	\$365.00	\$335.00	\$285.00
1 Year	\$400.00	\$340.00	\$270.00
2 Years	\$460.00	\$375.00	\$260.00
5 Years	\$600.00	\$450.00	\$280.00
10 Years	\$900.00	\$600.00	\$300.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech is quietly leading (+0.62% today, +0.78% on the week) — money is still flowing to megacap tech as investors treat them as defensive AI plays given policy uncertainty elsewhere.

COOLING OFF: Consumer Staples and Materials are lagging — classic risk-on positioning, which usually helps Apple.

ROTATION WATCH: Money is rotating from cyclical into large-cap tech as investors position ahead of the fall product cycle and prepare for potential Fed cuts. That's a direct tailwind for AAPL's multiple.

RELATED PLAY: If the folding iPhone thesis plays out, the display supplier (Samsung Display's public exposure via SSNLF, or Corning/GLW for the glass) and memory names (Micron/MU) benefit second-order — Micron specifically since AAPL just publicly complained about memory costs.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Extending gains near all-time highs — pure AI capex beneficiary, no consumer exposure to worry about.
- MSFT (Microsoft): Enterprise AI monetization story is cleaner than Apple's consumer AI pitch.

AAPL CONTEXT: Apple is lagging the AI leaders because its AI story (Apple Intelligence) has been underwhelming so far. The folding iPhone is the market's excuse to buy Apple as a hardware refresh story rather than an AI story — which is fine, but it caps the multiple expansion you're seeing in NVDA/MSFT.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the business forever, but the setup here is asymmetric to the downside near-term given the run-up and cost pressures.

POSITION SIZE: 3-5% — it's a core holding for most portfolios, but I wouldn't add aggressively at \$320.

ENTRY POINTS: Wait for \$305-315, which is where the 50-day support likely lives. If the iPhone event disappoints, you'll get that shot.

TIME HORIZON: 12-24 months — the real catalyst is the FY27 folding iPhone cycle, not this September's launch.

WHEN TO BAIL: If China revenue drops more than 15% year-over-year in the next earnings print, or if the folding iPhone gets pushed past 2027.

HEDGING: If you own a large position, buying protective puts 5-10% out of the money — that's basically insurance that pays off if the stock drops a lot, costs you a small premium if it doesn't.